

Cloud Cost Policy

Northstar Digital Services, Inc.
Enterprise Technology Office

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Field	Value
Company	Northstar Digital Services, Inc.
Document Owner	Cloud Center of Excellence
Audience	Employees, contractors, managers, IT support, security, and finance teams
Purpose	Sample enterprise content for a Retrieval-Augmented Generation demo knowledge base
Review Cycle	Annual or upon major business, security, compliance, or system change

1. Purpose

This policy establishes financial governance requirements for cloud resources used by Northstar Digital Services, Inc.. It supports cost visibility, budget accountability, tagging, rightsizing, forecasting, and timely remediation of waste.

2. Scope

- Applies to all cloud accounts, subscriptions, projects, tenants, sandboxes, and production environments.
- Applies to compute, storage, networking, AI/ML, database, monitoring, backup, and third-party marketplace services.
- Applies to employees, contractors, vendors, and managed service providers who provision or manage cloud services.

3. Cost Ownership

Cost Area	Owner	Expectation
Application workloads	Application owner	Forecast monthly spend and approve scaling changes.
Shared platforms	Platform engineering	Allocate costs using tags, chargeback, or showback reporting.
Security tooling	Security engineering	Budget recurring controls and monitor log ingestion growth.
AI/ML services	AI platform owner	Track model usage, token consumption, endpoint utilization, and storage.

4. Required Tags

Tag	Example	Required For
cost-center	FIN-204	All resources
application	policy-assistant	All application resources
environment	dev, test, stage, prod	All resources
owner	team-email or service owner	All resources
data-classification	public, internal, confidential, restricted	Storage, databases, AI knowledge bases
expiration-date	2026-03-31	Temporary environments and experiments

5. Budget and Alert Rules

- Each production workload must have an approved monthly budget.
- Alerts must be configured at 50%, 80%, 90%, and 100% of forecasted monthly spend.
- Any single-day spend increase above 25% must be reviewed by the owning team within one business day.
- AI/ML experiments must have usage limits or quotas before being opened to multiple users.

6. Provisioning Standards

- Infrastructure should be provisioned through approved Infrastructure as Code pipelines.
- Default instance sizes, storage classes, and retention settings must be reviewed during design.
- Non-production resources should use scheduling, auto-stop, or deletion policies where technically feasible.
- Public network egress, high-volume logs, and managed AI endpoints must be cost-reviewed before production launch.

7. Optimization Requirements

- 1 Review idle compute, orphaned storage, unattached disks, snapshots, and unused public IP addresses monthly.
- 2 Use reserved capacity, savings plans, or committed-use discounts only after workload stability is validated.
- 3 Archive or delete logs and backups according to retention policy.
- 4 Rightsize databases, container clusters, and search/vector indexes based on measured utilization.

8. Exceptions and Enforcement

Resources missing required tags may be quarantined, stopped, or escalated to management. Emergency exceptions are allowed for incident response but must be corrected within five business days.